



Company : 02 - Puma Kids Apparel Company LLC
Division : 01 - Puma Kids Apparel Co. LLC

48 WEST 38TH ST , NEW YORK, NY 10018 Phone 2123914143 Fax

Vendor
Vendor Code : - 093
THREE STARS FASHION
ROAD# 7 AMRIYA PUBLIC FREE ZONE

23512, ALEXANDRIA,
EGYPT

Shipping Destination
JD C/O Ace World Class NJ
80 Distribution Blvd

Edison, NJ, 088176006
USA

Beneficiary
093 THREE STARS FASHION
ROAD# 7 AMRIYA PUBLIC FREE ZONE
ALEXANDRIA, , 23512
EGYPT

Import PO # 22142-615
Version # 0
Orig. PO Date 02/22/2018
Last Revision Date 2/23/2018

Ex-fty 04/24/2018
Vessel Date 04/27/2018
ETA 05/10/2018
Payment Terms LC
Incoterm LDP
Country of Origin EGYPT
Port of Departure DAMIETTA, EGYPT
Port of Entry New Jersey Port
Internal Status Confi
Customer STOCK

Order Header Remarks EACH PIECE IN A POLYBAG WITH POLYBAG STICKER,
6 PCS IN RATIO TO A MASTER POLYBAG WITH MASTER POLYBAG STICKER,
36 PCS PER CARTON

NEED PP SAMPLES FOR APPROVAL
NEED TOP SAMPLES 2 WEEKS BEFORE SHIPMENT

Order Summary

* total each edit schedule dates*	"	Total	2520	\$11,088.00
		Grand Total	2520	\$11,088.00

GENERAL INSTRUCTIONS

Terms and Conditions made effective by offer and acceptance of a purchase order (the "Purchase Order") between United Legwear Company, LLC, a Delaware limited liability company with its principal offices at 48 West 38th Street, New York, NY 10018, USA as the buyer ("United") and the vendor as the seller ("Vendor") of merchandise described below. For convenience, the terms and conditions set forth herein, together with the Appendices and any documents identified below or referenced herein (all of which, in addition to the terms set forth in the Purchase Order, are collectively referred to as the "Agreement") have been adopted by reference in the Purchase Order. As part of the Purchase Order, this Agreement becomes effective simultaneously with the effectiveness of the Purchase Order (the Effective Date).

* * *

United agrees to purchase from Vendor, and Vendor agrees to sell to United, the merchandise identified in the Purchase Order ("Merchandise") on the terms and conditions set forth in this Agreement, all of which are incorporated by reference and merged therein.

1. DEFINITIONS

Capitalized terms not defined in context within the Agreement shall have the respective meanings assigned to them below.

- 1.1 "Cancel Date" means the latest date specified in Purchase Order on which United may cancel a Purchase Order.
- 1.2 "Change Order" means any change to an effective Purchase Order described in a written Change Order referencing the original Purchase Order.
- 1.3 "Day" means any day of the year, including weekends and holidays.
- 1.4 "Defective Merchandise" means any Merchandise that fails to conform to the Warranty of Merchandise set forth in Section 6 of this Agreement.
- 1.5 "Documentation" means the documentation in the English language that describes the technical and functional Specifications for the Merchandise, if any, and any supporting sets of documentation delivered with the Merchandise, including installation manuals, maintenance manuals, training materials, and other technical and customary supporting documentation as specified or revised from time to time by Vendor or United.
- 1.6 "FOB Point" means the terms of delivery specified in the Purchase Order defined pursuant to INCOTERMS 2000.
- 1.7 "Hazardous Condition" means (i) any condition which, under reasonably foreseeable circumstances, in the course of operation, use or handling of Merchandise, could result in damage to property or personal injury, and (ii) any condition which violates applicable health or safety regulations.
- 1.8 "Legal Requirements" means all applicable laws, ordinances, regulations, rulings orders, decrees, standards requirements, requests, policies, instructions or directions of any government authority.
- 1.9 "Materials" means any components and other materials comprising or contained in Merchandise.
- 1.10 "Merchandise Warranty Period" means the period designated on the Purchase Order during which the warranty of the Merchandise provided in subsection 6.1 of this Agreement shall be in effect, measured from the date of United's receipt of the Merchandise.
- 1.11 "Payment Terms" means the period of time and allowable discounts, if any, specified in the Purchase Order for payment of the invoice by United.
- 1.12 "Purchase Order" means the order for the purchase of the Merchandise as defined above.
- 1.13 "Repair or Replacement Period" means, with respect to each unit of Merchandise, the maximum period of time specified in the Purchase Order for repair or replacement of Merchandise by Vendor measured from the receipt by Vendor of a Notice of Defect, as that term is defined in subsection 7.1 of this Agreement.
- 1.14 "Request for Modification" means a written request by Vendor for a modification of any of the terms of this Agreement or a Purchase Order.
- 1.15 "Ship Date" means the last date specified on the Purchase Order on which Merchandise is required to be shipped.
- 1.16 "Specifications" means any documentary material furnished by one party to the other party describing or classifying the Merchandise, its functionality or its handling.

2. TERM OF AGREEMENT.

This Agreement is effective as of the Effective Date and shall continue in full force and effect with respect to any Purchase Order adopting the terms and conditions set forth herein. Neither party shall have the right to terminate this Agreement, except as otherwise permitted herein, by the terms of the Purchase Order or by mutual agreement in writing signed by the parties thereto, unless provided to the contrary herein.

3. PURCHASE ORDER PROTOCOLS

- 3.1 PRIORITY. In the event of any inconsistency between the terms or conditions set forth in a Purchase Order and the terms or conditions set forth in this Agreement, the terms and conditions of the Purchase Order shall prevail. This Agreement may be amended or terms or conditions of this Agreement may be waived by mutual agreement of the parties set forth in the Purchase Order or in a Change Order.
- 3.2 PURCHASE ORDER PROCEDURE.
 - 3.2.1 Issuance and Acceptance. United may issue Purchase Orders to Vendor by mail, fax, electronic data interchange, or other mutually agreeable method. If the Purchase Order is issued by electronic interchange, the provisions of Appendix 1 of this Agreement shall apply to the transaction represented by the Purchase Order and shall become part of this Agreement. The Purchase Order becomes effective upon mutual acceptance by the parties of a Purchase Order or any Request for Modification thereof in

writing.

3.2.2 Purchase Order Information. To the extent necessary to permit Vendor to fulfill the terms of a Purchase Order, Purchase Orders issued by United shall include, as applicable, (i) identification of Vendor, (ii) identification of the Merchandise by reference to its ticket type, description and universal product code, (iii) quantity of Merchandise, (iv) size(s) of Merchandise, (v) price per unit of Merchandise, (vi) applicable discount(s), (vii) total order price, (viii) FOB Point, (ix) Payment Terms, (x) Ship Date, (xi) Cancel Date, (xii) Merchandise Warranty Period, (xiii) Repair or Replacement Period, and (xiv) United's Purchase Order number.

3.2.3 Change Orders. Any modification of an effective Purchase Order shall be made pursuant to a written Change Order executed by an authorized representative of each party.

3.3 RESCHEDULING AND CANCELLATION.

3.3.1 Rescheduling. In the event that United notifies Vendor of its desire to reschedule a Ship Date Vendor will use commercially reasonable efforts to comply with United's request.

3.3.2 Cancellation. United may, without charge, cancel a Purchase Order, or any portion thereof, by giving notice to Vendor within a period of time not later than the Cancel Date. In addition, United has the right to cancel a Purchase Order, or any portion thereof, at any time without charge, if, or to the extent that, Vendor has neither ordered Materials nor commenced manufacturing the Merchandise in reliance on the cancelled Purchase Order.

4. DELIVERY AND RETURN OF MERCHANDISE

4.1 PACKAGING. Vendor shall, at no additional charge, package and secure Merchandise properly in accordance with Specifications and in a manner that will provide adequate protection against damage during shipment, handling, and storage under reasonably foreseeable conditions. Such packaging will comply with all applicable Legal Requirements and shall conform to security requirements, as hereinafter described. Vendor shall coordinate with the forwarders and transporters regarding the packing and handling of the Merchandise in order to assure its arrival in the manner required by the customs authorities of the United States.

4.2 SHIPPING, TITLE AND RISK OF LOSS.

4.2.1 Shipping. Unless instructed otherwise by United, Vendor shall (i) contract the mode of transportation of the Merchandise specified by United, (ii) ship the Merchandise in accordance with the directions specified in the Purchase Order and any special shipping instructions issued by United, (iii) assure that each shipment of Merchandise is accompanied by appropriate shipping documents, including an accurate invoice, sufficient to conform to all requirements for exporting the Merchandise from the country of origin and/or exportation and thereafter entering it into the commerce of the United States of America and as required by the terms of the applicable letter of credit, or as otherwise advised by United in writing, (iv) assure that all shipping documents bear United's Purchase Order number, (v) enclose a packing list with each shipment and, when more than one package is shipped, identify the package containing the list, placing the carton containing the packing list adjacent to the door of the container, and (vi) mark United's Purchase Order number on all packages

4.2.2 Title and Risk of Loss. Title to Merchandise and the risk of loss thereof will pass to United upon delivery of the Merchandise to the possession of United in accordance with the terms of the applicable Purchase Order and this Agreement.

4.3 INVOICING. Unless instructed otherwise by United, Vendor shall (i) render invoices in duplicate or as otherwise specified showing the Purchase Order number, (ii) render one separate, manually-signed, invoice plus two copies for each shipment or Purchase Order, and (iii) invoice United by mailing or otherwise transmitting invoices to the billing address in the Purchase Order. Vendor's records of shipments to United, including invoices and other relevant documents of each transaction will be maintained by Vendor for a period of at least five years and may be audited by United upon reasonable advance notice to Vendor and at reasonable times. Upon mutual agreement of the parties indicated in the Purchase Order, payment may be made pursuant to an irrevocable, documentary letter of credit for the full amount of the invoice, opened by United at its expense with an advising bank not later than forty-five Days prior to the Ship Date. The letter of credit (i) will be governed by the terms of ICC Publication 500, (ii) may be drawn by presentation of a time draft or sight draft on an advising U.S. bank selected by United, and (iii) will have an expiration date not earlier than twenty calendar days from the Ship Date.

4.4 FAILURE TO MEET SHIP DATE. If Vendor fails to deliver all or any portion of Merchandise on or before the Ship Date:

(a) Subject to (i) notifying United that all or a portion of Merchandise has not been timely shipped, and (ii) United's right to cancel the Purchase Order, Vendor shall use commercially reasonable efforts to ship such Merchandise as soon as possible and to assure that other shipments are not delayed, and if other shipments are expected to be delayed, Vendor shall provide United with immediate notice identifying those shipments along with a written plan for minimizing the expected delays and resuming timely shipments;

(b) United may, in its sole discretion, (i) negotiate a discount from any freight cost to be prepaid by United, and/or (ii) deduct a charge-back from the purchase price of the Merchandise and any adjustment pursuant to (i) or (ii) above shall be calculated in addition to discounts applicable under the original Purchase Order or to any other right available to United by law; and

(c) If United does not cancel the Purchase Order, then upon the written request of United, Vendor will ship the Merchandise, at Vendor's expense, to the location designated by United via air carrier if necessary for next-day delivery as soon as the Merchandise is available for shipment.

4.5 ALTERATION OR MODIFICATION OF SPECIFICATIONS. In the event that United notifies Vendor in writing, prior to the expiration of the Cancel Date, of any alteration or modification of the Specifications, Vendor shall be deemed to have accepted and adopted the proposed alteration or modification (i) without the requirement for a Change Order, (ii) without any change in costs to United or in the price of the Merchandise and (iii) without the requirement for an extension of the Ship Date, unless Vendor, within 20 Days of its receipt of the notice, notifies United in writing that any of the foregoing items (i) through (iii) will be required. In the event of its receipt of such notice from Vendor, United shall have the option, within 20 Days thereafter, to cancel its Purchase Order for all or a portion of the Merchandise without charge.

4.6 RETURN OF MERCHANDISE. Vendor will manufacture and supply Merchandise in accordance with the Specifications for the Merchandise, which may be reviewed and approved in writing by United prior to becoming effective. Unless the parties otherwise mutually agree in writing, the Merchandise will have the functionality and other characteristics specified in the applicable Specifications. United has the right to reject delivery (provided inspection of the delivered merchandise occurs at the time of delivery) and/or return the delivered Merchandise if United reasonably believes that the Merchandise does not comply with the applicable Specifications or conform to applicable warranties. In the event United properly returns Merchandise to Vendor hereunder, United will have the right either (i) to refuse payment of the applicable invoice (or require reimbursement by Vendor of all amounts paid by United in connection with the purchase of the returned Merchandise if and to the extent that any payment has already been made) and return the Merchandise to Vendor upon prepayment of the costs of the return shipment by Vendor or (ii) to require the Vendor to replace the Merchandise with Merchandise that complies with Specifications in accordance with the procedures for replacement and return of Defective Merchandise set forth in subsection 7.1 of this Agreement. In the event of a dispute as to whether Merchandise was returned by United the production of a bill of lading or comparable title document by United with respect to such Merchandise will constitute prima facie evidence that the Merchandise was returned by United and Vendor will thereupon have the burden to show by clear and convincing evidence that such Merchandise was not returned by United. United's return of Merchandise or failure to return Merchandise will not affect any of Vendor's warranty, indemnification, or other obligations under this Agreement or the time periods applicable to them.

5. PRICE AND TERMS

5.1 PRICE. The Merchandise shall be sold at the prices and in the currency specified in the Purchase Order.

5.2 MOST FAVORED PURCHASER. If prior to shipment there is any reduction in Vendor's regular selling price for Merchandise ordered pursuant to a Purchase Order hereunder, the price specified in the Purchase Order will be reduced to the Vendor's regular selling price prevailing at the time of shipment of the Merchandise.

5.3 TERMS OF PAYMENT. Invoices will be submitted to United by Vendor and, unless otherwise agreed or as otherwise provided in this Agreement, United will pay to Vendor the net amount stated in each invoice within the applicable Payment Terms. Discount

terms are computed from receipt of Merchandise.

5.4 TAXES. United agrees to pay all taxes levied or based upon the Merchandise and assessed by a local, state or federal taxing authority within the United States, including any excise, sales, or use tax, except for any tax levied or based upon the income of Vendor or its employees. Any taxes assessed to United will be separately stated on the invoice. Vendor will be responsible for the payment of all non-United States taxes, charges or levies, including any value-added tax. Customs duties assessed by United States authorities will be paid in accordance with the Terms of Sale and are not to be interpreted as a "tax" for purposes of this subsection 5.4.

6. WARRANTY OF MERCHANDISE

6.1 VENDOR WARRANTY. Vendor represents, covenants, and warrants to United as follows:

(a) No prior license or other agreement to which Vendor is a party or is bound is violated by, or is inconsistent or conflicts with, United's ownership of the Merchandise or the rights of United under this Agreement.

(b) Vendor is either the owner of the Merchandise or is otherwise in possession of sufficient licensed rights to any of the proprietary information and intellectual property owned by third parties in and to the Merchandise to permit Vendor to sell and furnish the Merchandise to United pursuant to the terms of this Agreement and United shall receive the Merchandise from Vendor without any restriction whatsoever on the use by United or its customers of the Merchandise.

(c) Title to the Merchandise shipped or sold to United will pass to United free and clear of all liens, charges, encumbrances, restrictions, judgments, or other third party rights.

(d) Merchandise will be manufactured from new and unused Materials.

(e) During the Merchandise Warranty Period, the Merchandise will be free of defects in design, processing, Materials and workmanship and strictly conform to the Specifications and any accepted Merchandise samples. The warranty provided in this subsection 6.1(e) is subject only to fulfillment of the following conditions:

(i) Vendor's receipt of written notice of a defect from United within, or promptly after, the applicable Merchandise Warranty Period; (ii) The Merchandise not having been altered or repaired by United or United's customer without Vendor's consent; or (iii) The alleged defect not being the direct result of mishandling, improper servicing, or improper operation by United or United's customer.

(f) The Merchandise and Materials have not been acquired from, or produced in, any country or area from which imports are subject to sanctions by the Office of Foreign Assets Control of the United States Treasury Department and are not otherwise subject to import restrictions established by United States authorities.

(g) The Merchandise, together with all related packaging, labeling and other Documentation and all related advertisements furnished or authorized by Vendor, (i) properly indicate the correct country of origin, (illegal transshipment is prohibited) (ii) are registered appropriately with all applicable government authorities in compliance with all Legal Requirements, (iii) are not adulterated or misbranded in violation of any Legal Requirements, (iv) do not infringe upon or bring into effect any personal, contractual or proprietary rights, including patents, trademarks, trade names, copyrights, rights of privacy, rights of publicity or trade secrets, of any third party, (v) possess all performances, qualities and characteristics claimed in advertisements issued or authorized by Vendor, (vi) are not being sold to United at prices which violate United States anti-dumping laws or permit the imposition of countervailing duties and (vii) comply with applicable Legal Requirements, including, but not limited to the following United States statutes and regulations: Consumer Product Safety Act, Flammable Fabrics Act, Food, Drug and Cosmetic Act, Fur Products Labeling Act, Hazardous Substances Labeling Act, Textile Fiber Products Identification Act, Wool Products Labeling Act and Care Label Requirements of the U.S. Federal Trade Commission, as well as the California Safe Drinking Water and Toxic Enforcement Act of 1986, as amended and commonly referred to as Proposition 65,.

(h) Any weights, measures, sizes, legends, words, particulars or descriptions, if any, stamped, printed or otherwise attached to the Merchandise, labels or packaging or any Documentation referring to the Merchandise purchased hereunder are true and correct and comply with Legal Requirements.

6.2 CONSUMER WARRANTIES. Vendor has provided United with a true and correct copy of all consumer product warranties offered by or through Vendor with respect to the Merchandise and shall, on or before the Ship Date, provide United with sufficient quantities of consumer product warranties to satisfy United's requirements of point-of sale availability of written warranty materials. All consumer warranties of Merchandise shall be prepared by Vendor in compliance with the requirements of the United States Magnuson-Moss Warranty Act and the related rules, regulations, statements and interpretations thereof issued by the U.S. Federal Trade Commission. Vendor will furnish a copy of the written warranty with each item of Merchandise purchased hereunder. A businessman's guide to compliance with the Magnuson-Moss Warranty Act may be found at: <http://www.ftc.gov/bcp/online/pubs/buspubs/warranty.htm#makingwarranties>.

6.3 SURVIVAL OF WARRANTIES. Vendor's representations and warranties set forth in subsections 6.1 and 6.2 above shall survive inspection, payment, and delivery of the Merchandise to United and any resale of the Merchandise by United, its agents or distributors or purchase by their customers. Issuance of express warranties by Vendor to United or to consumers shall not be deemed to waive such other warranties as may be implied in law or fact or provided for by any applicable law or regulation.

7. INDEMNIFICATION, INSURANCE REQUIREMENT

7.1 DEFECTIVE MERCHANDISE. During the Merchandise Warranty Period, at the election of United and in United's sole discretion, Vendor will repair or replace any Defective Merchandise within the Repair or Replacement Period, or issue a refund or a credit for the purchase price of, any Defective Merchandise. Upon discovery of Defective Merchandise during the Merchandise Warranty Period, United will promptly provide to Vendor a written notice ("Notice of Defect") with a request for repair, replacement or a refund or credit of the purchase price of the Defective Merchandise. If Vendor fails to repair or replace the Defective Merchandise within the Repair or Replacement Period, United shall continue to have the right to require replacement of the Defective Merchandise or a refund or credit of the full purchase price thereof. If United elects to obtain a replacement of the Defective Merchandise, Vendor will deliver the replacement Merchandise to a location designated by United. The costs and risk of loss or damage associated with delivering replacement Merchandise will be borne by Vendor. Replacement Merchandise delivered by Vendor will be subject to all of the terms of this Agreement as it relates to Merchandise and a new Merchandise Warranty Period will take effect with respect to the replacement Merchandise. United will return Defective Merchandise to Vendor or to a place designated by Vendor within a reasonable period after Vendor's receipt of the Notice of Defect. The costs and risk of loss or damage associated with shipping Defective Merchandise to Vendor will be borne by Vendor. Refunds or credits issued for the purchase price of any Defective Merchandise will be issued within ten Days after Vendor's receipt of the Defective Merchandise. If Vendor replaces Merchandise or issues a refund or credit to United pursuant to a Notice of Defect and Vendor subsequently certifies in writing to United and demonstrates to United's reasonable satisfaction that either (i) the returned Merchandise is not defective or (ii) any of the conditions to the Merchandise Warranty specified in subsection 6.1(e)(ii) or (iii) were not satisfied, then Vendor will return the Merchandise to United, and United will pay for the replacement Merchandise as if it were purchased pursuant to the terms of this Agreement. The Merchandise Warranty Period shall not apply to limit Vendor's responsibility for the repair, replacement or refund of the purchase price of any Merchandise with respect to which a defect has been demonstrated to cause or have caused a Hazardous Condition to exist with respect to any person or property.

7.2 INFRINGEMENT. Vendor will defend, indemnify and hold United harmless from any and all claims, costs, expenses, damages or other liabilities, including reasonable attorneys' fees, which are the result of patent, trademark or copyright infringement claims or claims based on misappropriation of trade secret rights arising out of, or relating to, the use, transfer, sale or resale of the Merchandise. United will notify Vendor in writing in the event of any such claim and grant to Vendor the right, at Vendor's expense, to control the defense thereof, including the right to settle any such claim or suit on terms that will not adversely affect United (as used herein, "adversely" shall include an obligation by United to pay money damages). If the use, transfer, sale or resale of any of the Merchandise by United constitutes an infringement or is enjoined, Vendor will, at its own expense and option, (i) procure for United the right to continue using, transferring and reselling such Merchandise, (ii) modify such Merchandise so that it becomes noninfringing, while strictly conforming to the applicable Specifications, or (iii) replace such Merchandise with non-infringing substitutes, while strictly conforming to the applicable Specifications.

7.3 INJURY, DAMAGE CAUSED BY MERCHANDISE. Vendor will defend, indemnify, and hold United harmless from any and all claims, costs, expenses, damages, or other liabilities, including reasonable attorneys' fees, arising out of (i) the death of, or bodily injury to, any person or (ii) the damage, loss, or destruction of, any property, if, and to the extent that any such death, bodily injury, or property damage, loss, or destruction is caused by Defective Merchandise or a Hazardous Condition.

7.4 SURVIVAL OF OBLIGATIONS TO INDEMNIFY. The obligations of Vendor under subsections 7.1, 7.2 and 7.3 will survive any termination or expiration of this Agreement and/or the Merchandise Warranty Period.

7.5 PRODUCTS LIABILITY INSURANCE. For a period of at least five years from the Ship Date, Vendor, at its expense, shall obtain and maintain in effect products liability insurance that covers the Merchandise in amounts not less than U.S.\$1,000,000 for bodily injury and property damage liability for each occurrence and U.S.\$5,000,000 in the aggregate per policy year. This insurance shall (i) include "vendor's coverage", (ii) name United, its subsidiaries and affiliates as additional insured parties (iii) apply to occurrences in the United States of America and (iv) be underwritten by an insurance company that is acceptable to United. Vendor will furnish copies of the certificates of insurance and the relevant endorsements naming United and its affiliates promptly upon the written request of United and will give United at least 30 days prior written notice of any cancellation, failure of renewal or material change in such insurance policy or any change in the issuer thereof. If Vendor fails to obtain the insurance required herein, United will have the right to purchase such insurance and to deduct the costs from funds payable to Vendor under any Purchase Order covered by this Agreement.

8. VENDOR OBLIGATIONS

8.1 QUALITY ASSURANCE. Vendor shall maintain at all times a quality assurance program that is adequate to assure that the Merchandise meets Specifications and Legal Requirements. United or its designated representative will have the right from time to time upon prior written notice to Vendor and at reasonable hours, to visit Vendor's facilities to inspect Vendor's facilities to verify Vendor's compliance with its quality assurance obligations. At the request of United, Vendor will, at Vendor's expense, provide a reasonable number of samples of Merchandise for inspection and testing at the facilities of United or its designee.

8.2 PRIVATE LABEL MERCHANDISE. From time to time United may require the placement of its proprietary trademarks, trademarks under license, trade names, service marks, company name, distinctive words, copyrighted or copyrightable materials, logos, pictures or designs of United or under license to United ("Proprietary Identities") on Merchandise. For this purpose only, Vendor is granted a non-exclusive and limited license, to apply the Proprietary Identities as directed by United and to sell Merchandise bearing the Proprietary Identities only to United. To the extent that the Merchandise bears or utilizes the Proprietary Identities Vendor shall not sell or otherwise transfer or dispose of such Merchandise to third persons unless prior written authorization expressly granting Vendor the right to do so is obtained from United and the Proprietary Identities have been removed from the Merchandise to the satisfaction of United. Packaging and labeling materials for private label Merchandise of United are generally available from United or its designated sources and, if available, will be delivered and billed to Vendor directly by United or its designee. If Vendor elects to obtain packaging and/or labeling materials for private label Merchandise from other sources, Vendor must first obtain all applicable Specifications thereof from United and submit samples of the packaging and/or labeling to United for written approval prior to its use.

8.3 DOCUMENTATION. Vendor will timely provide United, at no additional charge, with reasonable Documentation for all Merchandise, prepared in the English language. Such Documentation will be sufficient to allow, where applicable, for proper and efficient packaging, handling, installation, maintenance, and operation of the Merchandise. United shall have the right in its sole discretion, to reproduce such Documentation and make it available to its customers.

8.4 CONSUMER PRODUCT SAFETY ACT CERTIFICATE. Vendor shall timely provide United with any certificate that is required to be issued pursuant to the Consumer Product Safety Act in accordance with instructions given by United to Vendor for this purpose.

8.5 LABORATORY LISTINGS AND OTHER APPROVALS. Vendor shall, at its expense, obtain approvals, certifications and ratings of the Merchandise from independent testing, certifying or rating institutions approved by United to the extent that such approvals, certifications and ratings are required by any Legal Requirements or are customarily provided under generally accepted industry practices in the country of origin or the United States of America.

8.6 SECURITY. As a certified member of the U.S. Customs and Trade Partnership Against Terrorism ("C-TPAT"), United is obligated to ensure that its Vendors meet the criteria for security mandated by the C-TPAT program. In order to comply with these requirements, Vendor will cooperate with United in the implementation of measures to enhance the security of its exports of Merchandise and Materials to the United States and in particular agrees to undertake the following obligations:

(a) Maintain written and verifiable procedures and documentation tracking Materials and Merchandise from point of origin of the Materials to Delivery Location. From time to time, upon the written request of United, Vendor will send copies of its written tracking procedures and documentation to United's Vendor Compliance Department.

(b) Maintain verifiable security procedures at its manufacturing and distribution facilities, including container security, container inspection, container seals, container storage, physical access controls, employee identification system, visitor identification, deliveries, procedures for challenging and removing unauthorized persons, personnel security, pre-employment verification, background checks, personnel termination procedures, procedural security, documentation processing, manifesting procedures, shipping and receiving, cargo discrepancies, security training and threat awareness, physical security, fencing, gates, and gate houses, parking, building structure, locking devices and key controls lighting, alarm systems and video surveillance cameras, information technology security, and employee accountability. From time to time, upon the written request of United, Vendor will certify as to its compliance by furnishing to United's Vendor Compliance Department a properly executed copy of the Factory Security Certification .

(c) Grant to United or its designated representative the right from time to time, upon prior written notice to Vendor and at reasonable hours, to visit Vendor's facilities to perform an audit of Vendor's compliance with its security obligations set forth in subsections 8.1 (a) and (b) above. Upon completion of any review by United, Vendor will be advised in writing if any corrective action is required to assure compliance with the CTPAT program. Based on the type of corrective action required, the parties will mutually establish a time period for implementation of the corrective measures required. If Vendor does not comply within a reasonable time period with the requirements for C-TPAT compliance, United will be entitled to treat Vendor's failure to comply as a material breach of this Agreement.

8.9 RESPONSIBILITY OF VENDOR FOR PERFORMANCE OF SUBCONTRACTORS. To the extent that Merchandise sold hereunder to United is acquired by Vendor, in whole or in part, directly or indirectly, from third party manufacturers or subcontractors ("Sub-vendors"), Vendor shall be responsible for all of its obligations under this Agreement and shall assure that its Sub-vendors undertake any such obligations as may be necessary to permit performance by Vendor of its obligations hereunder, including direct access by United to the facilities of the Sub-vendors on the terms and conditions required hereunder. In addition, Vendor, while remaining primarily responsible for performance in its own behalf, will cooperate with United and take any action reasonably necessary or advisable to assist United in ensuring performance by its Sub-vendors of any of the provisions of this Agreement undertaken by Vendor.

9. RECALL AND CORRECTIVE ACTION

9.1 RECALL OF MERCHANDISE. Vendor will immediately notify United in the event that Vendor reasonably believes that Merchandise purchased by United from Vendor may fail to comply with any Legal Requirement or contain a Hazardous Condition or other defect that could cause a substantial risk of injury to the public or substantial property damage. If United becomes aware of reliable information that reasonably supports a belief that the Merchandise purchased by United from Vendor may fail to comply with any Legal Requirement or contains a Hazardous Condition or other defect that could cause a substantial risk of injury to the public or substantial property damage, (i) United will notify Vendor and Vendor shall take all necessary and appropriate measures to comply with applicable Legal Requirements and to remove or mitigate the risk or the possibility of damage and (ii) United will have the right to notify the United States Consumer Product Safety Commission or any other appropriate governmental agency and to take such other action as United, in its sole discretion, deems necessary or appropriate to comply with applicable Legal Requirements and to remove or mitigate the risk or the possibility of damage, including, without limitation, locating, identifying and notifying customers and recalling such Merchandise. In the event Vendor formulates a recall plan or is intending to enter into any agreement with any government authority for the recall of such Merchandise, Vendor will first obtain United's written approval of such plan or agreement. Upon recall of the Merchandise for any reason, all the costs of the recall and its implementation shall be borne by Vendor and Vendor will indemnify United for its costs and hold United harmless from any resulting liability or expenses including attorneys' fees reasonably incurred by United in connection with the recall.

9.2 REQUESTS FOR CORRECTIVE ACTION. United may from time to time issue a written request for corrective action to Vendor identifying any event which in the view of United may constitute non-performance of Vendor's duties or obligations hereunder, including any chronic or significant problems relating to Defective Merchandise, non-conformity to Specifications, or other material event evidencing non-performance hereunder, including security measures, (any one or more of which is hereafter referred to as a "Material Event") which United considers to be within Vendor's reasonable control. Vendor will respond to each such request as follows:

(a) Vendor will provide to United a written initial response to such a request within five Days following Vendor's receipt of the request. Such initial response will serve as Vendor's acknowledgment of its receipt of the request and will propose a target date for resolution of the Material Event identified in the request. The actual target date will be negotiated in good faith and mutually agreed by Vendor and United.

(b) On or before the target date proposed by Vendor in its initial response, Vendor will provide to United a written report that will set out in reasonable detail the cause of the Material Event and the action proposed by Vendor to correct it. Vendor will use its

best efforts to take any and all necessary corrective action, including action proposed in its response to the request, to remedy the Material Event as soon as practicable.

10. CONFIDENTIALITY

During the term of this Agreement, either party (the "Acquiring Party") may have the opportunity to acquire and/or obtain access to Confidential Information of the other party and its subsidiaries and affiliates (collectively, the "Disclosing Party") through discussions with employees, agents and independent contractors of the Disclosing Party. "Confidential Information" means all confidential and/or proprietary information and trade secrets developed by a party, or with respect to which a party acquires knowledge in connection with the performance of its obligations under this Agreement, during the life of this Agreement and thereafter, including the existence, subject matter, and contents of this Agreement, and any marketing strategies, technical information, product development information, pricing information, personnel information and financial information acquired in the course of performance of this Agreement. The Acquiring Party shall neither disclose Confidential Information of the Disclosing Party to any third party, nor permit Confidential Information of the Disclosing Party to be disclosed to any contractor, employee or agent not involved directly with the performance of its obligations under this Agreement, except with the Disclosing Party's prior written consent. The Acquiring Party will take every reasonable precaution to protect the confidentiality of Confidential Information of the Disclosing Party in a manner consistent with the efforts exercised by it with respect to the Acquiring Party's own confidential information of like kind or importance, and shall exercise due care in the enforcement of this obligation. The covenants of this Section 10 will not apply to information which (i) is known to the Acquiring Party prior to the Effective Date, (ii) is later obtained by the Acquiring Party from another source, (iii) is in, or enters into, the public domain, in each case, without violation of this Agreement or any other confidentiality or nondisclosure agreement or obligations, or (iv) is required to be disclosed pursuant to the order of a court or regulatory agency acting within its authority. The Acquiring Party shall take all actions reasonable and necessary to ensure that its employees and contractors are advised of, and bound by, the terms of this Agreement. The Acquiring Party's obligations under this Section 10 shall survive the termination or expiration of this Agreement or any Purchase Order. It shall not be a violation of this Section 10 if a Party is required to disclose Confidential Information pursuant to a court ordered legal directive provided that the disclosing party gives the other party sufficient notice to enable it to seek an order limiting or precluding such disclosure.

11. TERMINATION

Either party may terminate this Agreement and its obligations under a Purchase Order, in whole or in part, by written notice to the other, without further obligation to the other, if:

- (a) the other party fails to perform any material provision of this Agreement, and fails to cure the failure within forty-five Days after receipt of notice thereof;
- (b) the other party becomes insolvent or makes an assignment for the benefit of creditors, or a receiver or similar officer is appointed to take charge of all or part of such party's assets, or
- (c) an event of force majeure occurs as set forth in subsection 13.5 of this Agreement, and performance by either party is delayed for more than sixty Days.

12. GENERAL PROVISIONS

12.1 NOTICE.

12.1.1 Delivery. Any notice or demand which under the terms of this Agreement or under any statute must be given or made by Vendor or United shall be in writing and shall be given or made by e-mail, electronic data interchange, facsimile or similar communication or by certified or registered mail or by a reputable express delivery service properly addressed to the respective parties.

12.1.2 Effectiveness. Such notice or demand shall be deemed to have been given or made when receipt thereof is acknowledged personally or electronically by the receiving party.

12.2 ASSIGNMENT. Neither party may assign this Agreement to any other party without the prior written consent of the other Party, which consent shall not be unreasonably withheld. Notwithstanding the foregoing, either party shall have the right, without the written consent of the other, to assign this Agreement to a Financially Responsible Affiliate or to a Financially Responsible successor in ownership of substantially all the assets of the assigning party if the Affiliate or successor expressly assumes in writing the terms and conditions hereof and the obligations of the assigning party under this Agreement. "Affiliate" means any person, company, firm, or corporation controlling, controlled by, or under common control with, the party of reference. "Financially Responsible" means having sufficient financial, operating and personnel resources to carry out the party's obligations under this Agreement reliably and without otherwise materially adversely affecting its viability or its ability to carry out its obligations to third parties.

12.3 LIENS. Vendor shall not at any time file any lien or notice of claim to a lien of any kind or nature whatsoever nor permit the same for Merchandise or Materials furnished pursuant to the terms of this Agreement and expressly waives and relinquishes the right to any and all liens or claim of lien as may be permitted or provided for by any provision of law.

12.4 RIGHT OF SET-OFF. United shall have the right to set off the amount of any claim it may have arising from a transaction under this Agreement, or from prior transactions with Vendor, from the payment of any amount due under a Purchase Order.

12.5 FORCE MAJEURE. Neither Vendor nor United shall be held responsible for any delay or failure in performance of any part of this Agreement to the extent that such delay or failure is caused by fire, flood, explosion, war, strike, embargo, government requirement, civil or military authority, act of God, or any other similar causes beyond the control of Vendor or United ("Condition"). If any such Condition occurs, the party delayed or unable to perform shall give immediate notice to the other party describing the nature of the condition and its anticipated effect upon performance.

12.6 CHOICE OF LAW. This Agreement shall be governed by and construed in accordance with the laws of the United States of America and the State of New York (excluding New York rules regarding conflict of laws). The United Nations Convention on Contracts for the International Sale of Goods shall not apply to this Agreement.

12.7 JURISDICTION COSTS. Each party irrevocably submits to the exclusive jurisdiction of the state and federal courts of proper subject matter jurisdiction in New York County, New York, United States of America, solely for the purpose of interpreting this Agreement and adjudicating any dispute arising hereunder. If any legal action or other proceeding is brought for the enforcement of any of the terms of this Agreement, the prevailing party will be entitled to recover reasonable attorneys' fees and other costs incurred in the action or proceeding in addition to any other relief to which it may be entitled.

12.8 AMENDMENTS. No Change Order or amendment of this Agreement shall be effective unless it is in writing and signed by duly authorized representatives of both parties.

12.9 NON-WAIVER. A party's failure at any time to enforce any of the provisions of this Agreement or any right or remedy available hereunder or at law or equity, or to exercise any option herein provided, will in no way be construed to be a waiver of such provisions, rights, remedies or options or affect the validity of this Agreement. The exercise by either party of any rights, remedies or options provided hereunder or at law or equity shall not preclude or prejudice the exercising thereafter of the same or any other rights, remedies or options.

12.10 AUTHORITY. Each party represents that it has full power and authority to enter into and perform this Agreement, and the person signing this Agreement, on behalf of each, has been properly authorized and empowered to enter into this Agreement, understands it, and agrees to be bound by it.

12.11 NON-AGENCY. Each of the parties shall perform its obligations under this Agreement as an independent contractor. Nothing herein contained shall be deemed to create an agency, joint venture or partnership relationship between them.

12.12 ENTIRE AGREEMENT. This Agreement, the Purchase Order and any Master Purchase Agreement between the parties together with the Appendices, constitute the entire agreement between United and Vendor relating to the subject matter of this Agreement, and all prior understandings and agreements, both verbal and in writing, are merged herein. These do not, however, supersede, modify, or terminate any separate nondisclosure agreement in effect between the parties.

12.13 SEVERABILITY. In the event that any one or more of the provisions contained herein shall, for any reason, be held to be unenforceable in any respect, such unenforceability shall not affect any other provision of this Agreement, but this Agreement shall then be construed as if such unenforceable provision or provisions never had been contained herein. However, in the event any such provision is considered an essential element of this Agreement, the parties shall promptly use their best efforts to negotiate a substitute provision.

12.14 SURVIVAL. Expiration or termination of this Agreement for any reason will not release either party from any liabilities or obligations set out in this Agreement which (a) the parties have expressly agreed will survive any such expiration or termination, or (b) by their nature would be intended to be applicable following any such expiration or termination.

12.15 HEADINGS, AMBIGUITIES. The inserted headings are for convenient reference only and will not be used to construe or interpret this Agreement. No presumption will apply in favor of a party in the interpretation of this Agreement or in the resolution of any ambiguity of any provisions hereof.